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The Redistribution “Paradox”: What Has Restricted Global Redistribution Process?

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1. Introduction

The global political economy over the last 40 years presents a profound increase in inequality: since the early 1980s, income and wealth inequality have surged to very high levels. According to data from the World Bank's Poverty and Inequality Platform (2025), the Gini-coefficient (measurement of economic inequality) has either remained stubbornly high, or increased across many countries and regions, ranging from well-established liberal democracies to transitional regimes. In major economies like the US, EU, and China, the concentration of wealth at the very top has accelerated as well (Zucman, 2019), creating an economic gap between the elite and the average citizen. This trend tracks closely with the historical analysis provided by Piketty (2014), who describes the U-shape curve of capital accumulation. After the mid-20th-century period of relative equality, Piketty argues we have returned to a hereditary capitalist mode, where the rate of return on capital exceeds the rate of economic growth, which inevitably concentrates wealth at the top.

All these phenomena would seemingly demand a policy response. However, it seems that the "corrective mechanism" predicted by canonical political science models did not fully, or effectively function. Standard theories of Majoritarian Democracy like the Median Voter Theorem (MVT) suggest that as the gap between the rich and the poor widens, the electorate should demand redistribution through their votes. Therefore, we should expect to see a surge in progressive taxation, a "brake" on capital accumulation, and an expansion of the welfare state, etc. But the empirical reality of the last 40 years has been quite the opposite. We did not witness the implementation of such aggressive redistribution. Instead, the 'Robin Hood Paradox' identified by Lindert (2004) suggests that the redistribution is often lowest precisely where inequality is highest.

This divergence poses the research question of this essay: Why has rising inequality not led to increased redistribution? To answer this, I will critically examine the failures of the MVT, the foundational model that predicts how democracies should react to inequality. While the MVT offers a compelling logic: a poorer median voter will vote to tax a richer mean, it relies on many assumptions that may not be satisfied in reality.

This essay argues that the failure of redistribution is not the result of any single malfunction, but rather the result of the combined effect of multiple structural constraints. I will move beyond a simple list of causes and understand that these barriers affect the redistribution process. First, we face the pressure from globalization. The MVT assumes a closed economy where the state has the complete power to tax its citizens effectively. However, the last 40 years of financial liberalization and

globalization have made the tax base more elastic. As noted by Helpman et al. (2017), multinational companies now have more freedom to shift production and profits to other countries, forcing some governments to engage in a “tax war” to attract investment. At the same time, Zucman (2019) also highlights that high-wealth individuals can move financial assets into tax havens easily, which may put a mask on the mean income/wealth figure, and therefore mislead tax policies. These influences will more or less decrease the power and autonomy of governments’ tax policies. Consequently, voters’ influence on tax policy would decline as well.

Secondly, we face the cognitive constraints of misperception. Even if the economic tools existed, the political demand may still stagnate because some voters fundamentally misunderstand the depth of wealth and income concentration. A research by Douenne et al. (2024) shows that citizens in Netherlands significantly underestimate wealth inequality, and often misreading the “shape” of the distribution: most people, whether actually poorer or richer, believe they are closer to the median (in terms of both income and wealth distribution) than they actually are, and underestimate the true wealth level of the rich. With this imperfect information, voters may fail to actually demand a redistribution like rational actors in the MVT model.

However, this essay contends that even if these economic and all cognitive barriers were perfectly addressed and removed, which means tax base is immobile and voters are perfectly informed. Redistribution would still likely fail due to the harder and more intransigent barrier: Political Inequality and Elite Capture. I will discuss a potential concern: that democratic mechanisms themselves have been re-designed to “shield” the elite from the preferences of the majority.

This capture manifests in two distinct forms. In developing democracies, such as Indonesia, it appears as the persistence of “de facto” power, where old-regime elites enable illicit influence like bribery to retain control despite under competitive election systems (Martinez-Bravo et al., 2017). In advanced (well-developed) democracies, such as Sweden, it manifests as a subtle representation gap, where politicians are selected mostly from the affluent and educated classes, leading to policy that reflects a “rich-weighted median” rather than the true median (Dal Bó et al., 2017). And ultimately, the system will no longer be designed to translate the preferences of the median voter into (tax and redistribution) policy; it is designed to speak more for the rich classes.

In general, this essay first discusses the redistribution problem from two angles of tax-related problems: the elastic tax base issue and the misperception issue. They talk about the insufficiency of, and the challenges faced by the Melzer-Richard MVT model’s prediction on redistribution. After

that, this essay talks more from a political view. It explains how “old-regime legacies” and elite capture problems affect redistribution process, with the help of 2 case studies carried out in Indonesia and Sweden.

2. Median Voter Theorem

Figure 1 is a line diagram of the phenomenon about income inequalities from 1963 to 2023 in 10 selected countries, which are from different geographical regions and are under various political systems. As demonstrated, we could barely witness any clear decrease in income inequality for almost all sample countries, which is not aligned with expectations from redistributive theories like the Median Voter Theorem (MVT).

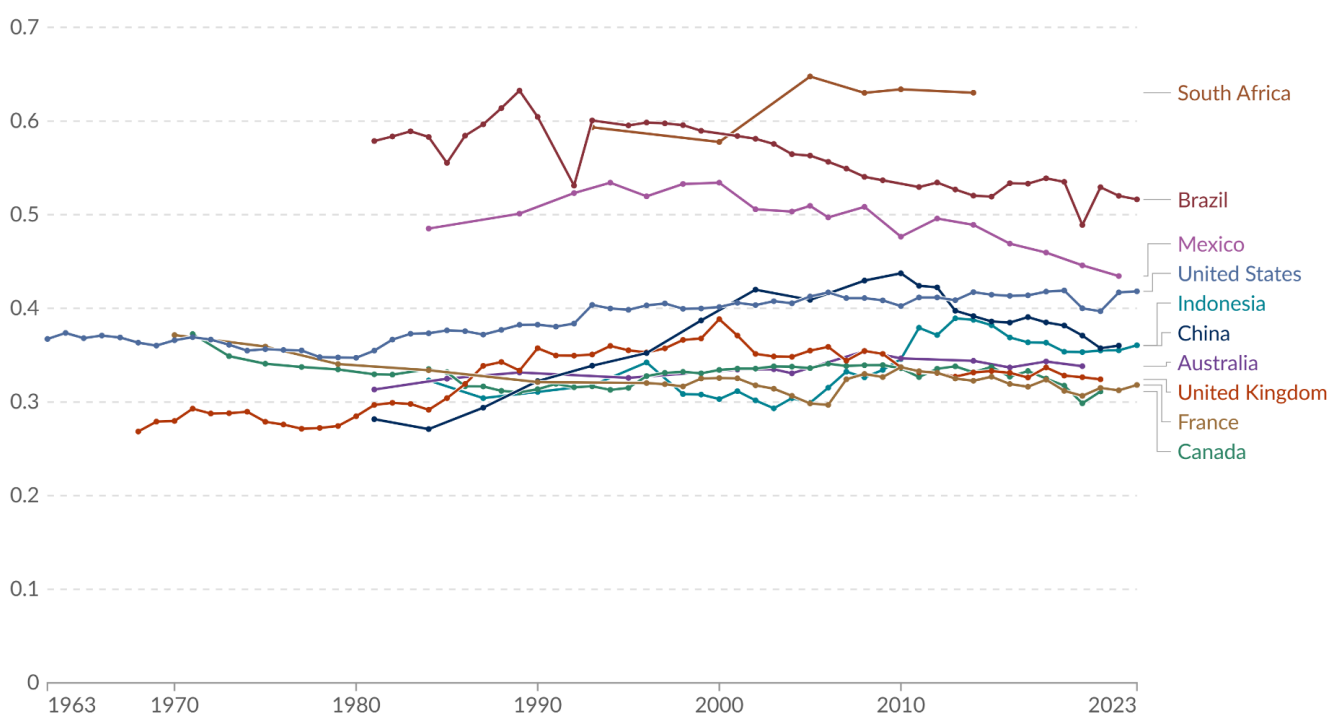


Figure 1: Income inequality (Measure in Gini Coefficient) of 10 sample countries from different geographical regions, culture background, and political regimes, 1963-2023

Source: World Bank Poverty and Inequality Platform (2025)

The canonical model of MVT is most famously formalized by Meltzer and Richard in 1981, which posits that the level of redistribution is determined by the preferences of the voter who sits at the median of the income distribution. The model relies on the mathematical relationship between the mean and median income. In an ideal society, the mean and the median income would be similar. However, income distribution, in reality, is generally right-skewed because a small number of very

wealthy individuals pull the mean upwards, while the median remains almost unchanged. Therefore, as inequality increases, the gap between median and mean should widen.

And the MVT predicts that: as the gap widens, median voters should face a clear economic incentive. Because there is a growing number of median voters earning “below-mean” incomes, they can benefit from a tax system that taxes and redistributes income and wealth across the overall economy. And they are expected to use their voting power to transfer wealth from the rich to themselves. Therefore, as inequality intensifies, median voters should be more inclined to engage in redistribution. In a competitive political marketplace, to win elections, parties need to secure the vote of median citizens. Therefore, both left and right parties should eventually converge on tax and redistribution policies that satisfy such demand, which will generally be higher taxes and increasing social spending.

Therefore, the mathematical representation for the Meltzer and Richard’s (1981) canonical MVT model on equilibrium tax is below, which the equilibrium tax (τ^*) should be positively correlated to the gap between mean income ($\bar{y}$) and median income (y_m).

$$\tau^* \propto \frac{\bar{y} - y_m}{\bar{y}}$$

However, the major issue with the previous formula is that it fails to account for tax elasticity. If the tax rate increases, the tax base (labour supply) will shrink due to less incentives to work. In other words, when a larger share of income is taxed, individuals are less willing to supply labor / work; the tax elasticity (ε) captures the extent to which the tax base declines in response to higher tax rates. And equilibrium tax is negatively correlated to tax elasticity because a more elastic tax base responds more strongly to higher taxes, which makes high tax rates less desirable. Therefore, a “closer-to-reality” formula is as follows:

$$\tau^* \propto \frac{\bar{y} - y_m}{\bar{y}} \cdot \frac{1}{1 + \varepsilon}$$

The second half of the formula is exactly the first starting point of my investigation on the empirical failure of MVT’s “prediction” on redistribution: could tax elasticity possibly influence redistribution?

3. Globalization Challenge and Mobile Tax Base

The first “big blow” to the MVT is from the transformation of the global economy. The Melzer-Richard model was built on a closed national economic system, in which the government owns an almost fixed tax base. If the government decides to raise taxes, the wealthy may complain, but they are very unlikely to leave the system. However, this assumption is outdated today. The rise of globalization and financial liberalization has fundamentally makes the tax base more elastic.

In the last 40 years, the barriers to moving capital across borders have largely dissolved. As noted by Helpman et al. (2017), multinational firms now possess an unprecedented freedom to choose their production locations, operation office, and profit centers. For example, a fictitious company headquartered in the UK may transfer its production to Asia (lower costs), and its profits to the Cayman Islands (tax haven).

This mobility creates a "tax competition" dynamic. Globalization creates a high elasticity of taxation: even a small increase in the tax rate can lead to a massive reduction in the tax base as capital flows to regions with tax advantages. Governments are no longer setting tax policy only based on domestic voter preferences; they are competitors in a global market for capital influx. Sometimes they compete to attract multinational firms by offering lower corporate tax rates. They might also attract inflows of high-wealth individuals' financial assets by decreasing wealth tax.

Therefore, even if the domestic (median) voters want redistribution via tax policies, policymakers may perceive strong external constraints. They fear that implementing voters' will would trigger capital flight or reduce investment, ultimately harming the national economy. It could be deduced that this phenomenon would be especially severe for countries with less international influence. For these countries, a rational response is sometimes to comply with low corporate & capital taxes, and shift the tax burden to relatively immovable factors such as immobile labours and domestic consumption. This explains why, despite increasing inequality, we still see some countries relying on regressive VAT systems rather than progressive wealth tax systems.

From another angle, the rise of offshore tax havens also influences the redistribution process, not only through capital outflows, but also by obscuring the measurement of mean income and wealth. Zucman (2019) points out that a significant portion of the wealth at the top is effectively invisible, in

which he estimates that approximately 8% of the world's household financial wealth is held offshore in tax havens. This amounts to roughly 1/10 of world GDP, or between 5 to 6 trillion USD. This "missing wealth" distorts the data inputs of the MVT, as the mean income that voters are presumed to tax is partly hidden inside shell companies and trusts, thereby weakening both the informational basis and political feasibility of redistribution (because states cannot redistribute wealth if they cannot find firstly).

4. Misperception

The previous section talks about how the Meltzer-Richard MVT model's predictive power is affected by the realities of a globalized economy and mobile tax base. However, these factors may not be the only reasons for limited redistribution. The MVT relies on the assumption of "perfect information", that the median voter knows their own position in income and wealth distribution, and the current situation of inequality in their region of residence. However, in reality, voters sometimes have severe misperceptions about them. They generally underestimate the extent of inequality, which diminishes their demand for redistribution. This misunderstanding is particularly pronounced in wealth. Voters tend to view inequality in terms of income (who earns more wages), but they overlook the more extreme concentration of wealth and assets.

And the case study in the Netherlands by Douenne et al. (2024) provides the exact empirical evidence to this phenomenon. The Dutch study found that respondents estimated wealth inequality to be only slightly higher than income inequality (3.4%), whereas the real statistical difference was a staggering 36%; voters underestimate the actual wealth of the rich, and misinterpret the "pattern" of wealth distribution. More broadly speaking, the study by Zucman (2019) also suggests that "wealth concentration" is becoming more severe. Zucman points out that in China, Europe, and the United States, the wealthiest 1% of the population "now" owns 33% of the wealth, while the poorest 75% own only about 10%. If there is existing severe wealth inequality that voters fail to perceive. Then reasonably, this will create barriers to the implementation of redistribution and tax policies in democratic countries.

This misperception of inequality is also reflected by voters' confusion about their own economic position in the national income and wealth distribution. Research into public perception reveals a presence of "center-bias": regardless of their actual position in the income and wealth distribution, most individuals believe they are middle class. The poor overestimate their rank, believing they are closer to the middle, while the rich also underestimate their rank, also believing they are closer to

the middle (Douenne et al., 2024).

In the Netherlands case study, researchers found that every 1% increase in a person's actual income rank only shifted their perceived rank by ~0.31%. For wealth, the disconnect was even starker: a 1% increase in actual wealth rank shifted perception by only ~0.27%. This means that people who should benefit from redistribution (below the median) often do not even realize they are the beneficiaries at the beginning. They might vote against their economic interests because they misidentify their economic position.

Both the misperception about voters' own economic positions and the general inequality situation will negatively impact the effectiveness of MVT, because $\bar{y} - y_m$ depends on the perceived gap, not the actual gap. Even if the real gap is enormous, if voters perceive the gap to be "not significant", they will not demand any policy interventions.

To understand why voters might seemingly vote against their own economic self-interest, we could look beyond simple ignorance to the psychological models of Benabou and Tirole (2006). They argue that individuals maintain a "belief in a just world" as a necessary motivational tool, and acknowledging that the economic system is structurally flawed would demotivate their own efforts. Therefore, voters often willfully ignore evidence of structural inequality to preserve their own sense of agency. Furthermore, Alesina and Angeletos (2005) offer another important supplementary explanation. They argue that voters distinguish between "fair inequality" (from effort) and "unfair inequality (from luck, etc)". The misperception, therefore, is not just about the numbers, but about the narrative: if voters wrongly believe the wealth earned by the rich is through effort, they will not demand redistribution, even if the statistical gap is enormous.

Thus, this brings us to a vital juncture in the analysis. If misperception is a such worrying and critical barrier, the solution would appear straightforward: provide better information. If we simply show voters the Gini Coefficient graphs, the data on tax havens, and make them understand their own economic position, etc. would that significantly accelerate the process of redistribution?

In my opinion, the answer is unfortunately NO. While fixing misperception might marginally increase demand for redistribution, it cannot resolve the redistribution paradox. This is because the lack of redistribution is not merely due to insufficient redistribution demand or economic factors (globalization challenges), but rather a failure of the political information transmission mechanism.

Even if voters understand the truth and demand action, the political system itself has already been "captured." This leads to the most critical constraint factor in our analysis of the system.

5. Elite Capture and Political Manipulation

The most damaging critique of the canonical MVT is that it assumes a neutral "political playing field". It assumes that "one person, one vote" translates to the majority rule. But in reality, political influence is not distributed equally. We observe a phenomenon of elite capture, where the preferences of the wealthy minority systematically override the preferences of the median majority. I prefer to classify this capture into 2 different forms depending on the maturity of the democracy: the "direct" capture in developing nations, and the "subtle" capture in advanced democracies.

In many parts of developing regions (e.g., parts of Asia, the Third World, and the Global South), the failure of redistribution is sometimes brought by historical political legacies. In many cases, the transition from authoritarianism to democratic systems does not completely eliminate all "old elite forces" immediately. Instead, the old elites would try to adapt to the new rules in order to maintain their economic and political dominance.

Indonesia offers a typical case study example of this "persistence." Indonesia transitioned from the authoritarian regime: the Suharto Regime (1965–1998) to democratic systems in 1999. The expectation was that free elections would empower the poor to dismantle the crony capitalism (collusions between governments and firms) of the Suharto era. However, research by Martinez-Bravo, Mukherjee, and Stegmann (2017) reveals why this did not happen.

The transition process contained a fatal flaw: Suharto-appointed mayors were allowed to finish their 5-year terms (1998–2003) before facing direct elections. This period gave the old elites a crucial window to reorganize. They utilized this time to invest in "de facto power" through alliances with the military, bribery, and vote-buying networks to entrench themselves. The statistical evidence of this capture is very significant. In the 1st wave of direct mayoral elections (2005–2008), 71% of districts elected mayors who are related to the old regime background. Researchers also found another correlation: from 1998 to 2003, each additional year of exposure to an unelected old "suharto mayor" increased the probability of elite persistence in that district by 11%.

This has profound implications for democratic systems. In regions long influenced by the old elite,

there are fewer candidates running for public office, and the number of independent candidates has also decreased. The political market has effectively become monopolized by the incumbent. Under this environment, the MVT is largely no longer applied. The core assumption of "pairwise voting" and "perfect political competition" does not exist. Even if inequality rises, the preferences of the poorer median voter cannot translate their preferences into actual redistribution policies because many candidates on the ballot are all members of elite groups. The major reason for the lack of redistribution in Indonesia is not the misperception of the voters, nor global challenges; it is a carefully orchestrated power erosion by deeply entrenched oligarchy (elite groups).

But if we look back to Figure 1, it is true that Indonesia is one of the sample countries, but we could also observe many other well-developed countries like UK, USA, are they free from elite capture and manipulation issues? People sometimes view elite capture as a problem unique to young, corrupt democracies. However, a study by Dal Bó et al. (2017) on Sweden, one of the world's most egalitarian and transparent democracies, shows that elite capture could be a universal feature of modern politics instead of rare cases.

The research team analyzed the socio-economic background of Swedish politicians and compared them to the general population. And they found a representation gap: politicians are not drawn from the median of citizens. They are significantly richer, better educated, and more likely to come from affluent families than the people they represent (Dal Bó et al., 2017).

This distortion may arise from the mechanics of political participation. Higher-income and better-educated citizens are much more likely to participate more actively in political activities (e.g., vote, donate, campaign, and run for office). As a result, the pool of candidates is skewed toward the elite. This phenomenon has profound implications for policy. If politicians sit closer to the top of the economic distribution, they inevitably "see the world through elite eyes" (Dal Bó et al., 2017).

In general, Dal Bó's findings suggest a concern that policy may reflect a "rich-weighted median" rather than the actual median citizen. If the politicians themselves are at the top of the economic distribution, they may be subconsciously resistant to taxes that would target themselves, or they may share similar ideological ideas of the wealthy regarding the tradeoff between efficiency and incentives. In Sweden, the capture is not necessarily illegal, but it is structural. Given that Sweden runs a parliamentary democracy, it may cause the strong preference of the poor for redistribution being weakened when it is finally submitted to a parliamentary vote via these politicians.

This pattern of elite dominance is not unique to European parliamentary systems; it is also pronounced in the US. Gilens (2012) shows that policy outcomes in the US are almost entirely correlated with the preferences of the wealthy. Iversen and Soskice (2019) also suggest that the rise of developed democracies is not accidental, but rather a result of the fact that the "decisive voters" are often not the poor or median, but a segment of the middle class and capitalist elites. This presents a significant barrier to the redistribution predicted by the MVT, as the genuine middle voters are isolated by a cross-class alliance.

Returning to the question raised in section 4: "If we completely get rid of misperception, will that solve everything?". Based on the cases presented in Indonesia and Sweden, the answer is likely to be NO. In Indonesia, the voters could demand redistribution, but the de facto power of the Suharto elites ensures that most candidates running the elections are on their side, which is a representation of elite power retention. In Sweden, the voters could demand redistribution, but the representation gap means the government is populated by relatively wealthy politicians who fundamentally do not share the same situation as average voters.

6. Summaries

After demonstrating different perspectives on why redistribution did not happen in the past 40 years, it would be clearer to combine them logically. The critical point is how the assumptions that support the MVT (the core theory of redistribution) are "dismantled". The most straightforward 1st issue is that the assumption of perfect information was challenged by the complexity of modern wealth, leading to widespread voter misperceptions and a decreased demand for redistributive policies.

However, in my opinion, this is the softest barrier. It is true that they underestimate the wealth of the rich and always overestimate their own economic status. But if there is an information campaign, there could be a surge in the demand for wealth redistribution. Voters will be more vocal, but this demand would encounter the next obstacle, which is the 2nd issue: globalization challenges.

MVT's assumption of a closed economy is largely invalidated by globalization, which gives capital and tax base more freedom to enter and exit (more elastic), and forces governments into a race of tax policies. A government that listened to its voters and raised taxes might see its economy collapse as firms relocated and capital outflow. This is a structural problem that improving voter

awareness itself cannot fix.

Apart from the challenges brought by globalization, the 3rd factor that slows down the redistribution process is a political factor: elite capture in elections. It breaks the “fair political power” assumption. Whether it is the persistence of authoritarian networks in Indonesia (developing democracy) or the dominance of the affluent in Swedish politics (mature democracy), the political system acts as a filter that restricts redistributive demands.

To sum up, this essay argues that the theoretical mechanisms that translate increasing inequality into redistribution demand, and 3 core assumptions of MVT (fair political power, closed economy, sufficient information), have both been undermined by a series of constraints operating at the economic, cognitive, and political levels. Unless these structural issues are addressed respectively, the MVT will remain a mathematical abstraction rather than a political reality, which explains why redistribution did not happen as theory suggested.

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